Final Course
Study Material
(Modules 1 to 4)

Paper 4

Direct Tax Laws & International Taxation

[Direct Tax Laws as amended by the Finance Act, 2025]
Assessment Year 2026-27

Module – 1

(Relevant for May 2026, September 2026 and January 2027 examinations)



BOARD OF STUDIES (ACADEMIC)
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

© The Institute of Chartered Accountants of India

This Study Material has been prepared by the faculty of the Board of Studies (Academic). The objective of the Study Material is to provide teaching material to the students to enable them to obtain knowledge in the subject. In case students need any clarification or have any suggestion for further improvement of the material contained herein, they may write to the Joint Director, Board of Studies (Academic).

All care has been taken to provide interpretations and discussions in a manner useful for the students. However, the Study Material has not been specifically discussed by the Council of the Institute or any of its committees and the views expressed herein may not be taken to necessarily represent the views of the Council or any of its Committees.

Permission of the Institute is essential for reproduction of any portion of this material.

© THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

All rights reserved. No part of this book may be reproduced, stored in a retrieval system, or transmitted, in any form, or by any means, electronic, mechanical, photocopying, recording, or otherwise, without prior permission, in writing, from the publisher.

Edition	:	September, 2025
Author	:	CA. (Dr.) Rashmi Goel
Committee/Department	:	Board of Studies (Academic)
E-mail	:	bosnoida@icai.in
Website	:	www.icai.org
Price	:	₹ /- (For All Modules)
ISBN No.	:	
Published by	:	The Publication & CDS Directorate on behalf of The Institute of Chartered Accountants of India, ICAI Bhawan, Post Box No. 7100, Indraprastha Marg, New Delhi 110 002 (India)
Printed by	:	

© The Institute of Chartered Accountants of India

BEFORE WE BEGIN ...

Direct Tax Laws & International Taxation: Dynamic Subject Area

Direct Tax Laws & International Taxation is one of the dynamic subjects of the chartered accountancy course. The direct tax laws of the country undergo significant changes every year with the passing of the annual Finance Act. Apart from these significant amendments ushered in every year through the Finance Act, notifications and circulars are also issued from time to time by the Central Board of Direct Taxes (CBDT), the statutory authority in charge with the administration of direct taxes, to implement the provisions of the Act and clarify issues regarding the meaning and scope of certain provisions. Further, decisions are pronounced by various Courts interpreting the provisions of tax laws.

With increased cross border transactions and the whole world virtually becoming one market, there is a need for chartered accountants to enhance their knowledge base in international taxation. Countries across the globe are entering into tax treaties to avoid double taxation of a single transaction. In a highly advanced IT enabled business scenario where an entity operates from many establishments spread throughout the globe, chartered accountants have to be well versed with the nuances of international taxation to be able to give an informed and correct advice and ensure compliance with tax laws. Accordingly, international taxation has been included as an integral part of this paper.

The contents of the syllabi of this paper is divided into three parts –

1. Chapters based on substantive law of direct taxes including tax planning and tax avoidance;
2. Chapters based on the compliance and procedural law of direct taxes; and
3. Chapters based on international taxation.

The relevant Finance Act and Assessment Year

This Study Material is based on the provisions of direct tax laws, as amended by the Finance Act, 2025, and the Taxation Laws (Amendment) Act, 2025 and the significant notifications, circulars issued and other legislative amendments made upto 31st July, 2025. The computational problems have been solved on the basis of the provisions of direct tax laws applicable for A.Y.2026-27. The Study Material is, therefore, relevant for May 2026, September, 2026 and January, 2027 examinations. In this Study Material, the amendments made by the Finance Act, 2025 and the

© The Institute of Chartered Accountants of India

Taxation Laws (Amendment) Act, 2025 and latest notifications and circulars issued have been indicated in *italics*/***bold italics***.

The significant circulars and notifications issued and other legislative amendments, if any, made upto 31.10.2025, 28.2.2026 and 30.6.2026 but not covered in this material, relevant for May, 2026, September, 2026 and January, 2027 examinations, respectively, will be webhosted as Statutory Update at the BoS Knowledge Portal.

Read the Bare Act & Rules along with Study Material

At the Final level, along with the Study Material, students are also advised to read the Income-tax Act, 1961 and Income-tax Rules, 1962, available at the website of the income-tax department www.incometaxindia.gov.in. This will help understand the language of law and sequence of sections and rules. The circulars and notifications issued by CBDT, the income-tax return forms, important provisions relating to firms, companies, trusts, FAQs etc. are also available at this website. Students are advised to visit the income-tax department's website and enhance their knowledge.

Framework of Chapters: Uniform Structure comprising of specific components

Efforts have been made to present the complex direct tax laws in a lucid manner. Care has been taken to present the chapters in a logical sequence to facilitate easy understanding by the students. The Study Material has been divided into four modules for ease of handling by students. The first three modules are on direct tax laws and the fourth module is on international taxation.

Each chapter of the Study Material has been structured uniformly and comprises of the following components:

	Components of each Chapter	About the component
1	**Learning Outcomes**	Learning outcomes which you need to demonstrate after learning each topic have been detailed in the first page of each chapter. Demonstration of these learning outcomes would help you achieve the desired level of technical competence
2	**Content**	The concepts and provisions of direct tax laws and international taxation are explained in a student-friendly manner with the aid of examples/illustrations/diagrams/flow charts. Diagrams and Flow charts would help you understand and retain the concept/ provision learnt in a better manner. Examples and illustrations would help you understand the application of concepts/provisions. These value additions would, thus, help you develop conceptual clarity and get a good grasp of the topic.

© The Institute of Chartered Accountants of India

3	**Significant Select Cases**	The summary of recent significant select Supreme Court and High Court rulings have been tabulated at the end of each chapter capturing the gist of the Court decisions interpreting the provisions of tax laws. In addition, case laws (including recent case laws) also form part of the discussion of topics in the content as well as in the questions and answers in "Test Your Knowledge" component. Questions on "Significant Select Cases" in direct tax laws have been given at the end of Module 3 to enable you to apply the rationale of court rulings in addressing issues.
4	**Test Your Knowledge**	The questions and answers at the end of each chapter would help you to analyse the provisions of direct tax laws and international taxation and apply the same in problem solving, thus, sharpening your application skills. In effect, these questions would test your ability to analyse and apply the concepts/provisions learnt in solving problems and addressing issues.

We hope that these student-friendly features in the Study Material improves your learning curve and sharpens your analytical and interpretational skills.

Happy Reading and Best Wishes!

© The Institute of Chartered Accountants of India

PAPER – 4 : DIRECT TAX LAWS & INTERNATIONAL TAXATION

(One paper — Three hours –100 Marks)

Objective:

(a) To acquire the ability to analyse and interpret the provisions of direct tax laws and recommend optimal solutions to practical problems in a tax efficient manner; and

(b) To apply the provisions of direct tax laws and the concepts, principles and provisions of international taxation to recommend solutions to issues involved in cross border transactions.

Contents:

I. (i) Comprehensive computation of income-tax liabilities of companies and other entities under the alternative tax regimes under the Income-tax Act, 1961 to optimise tax liability

- General provisions under the Act for computation of total income and tax liability for companies and other entities
- Special tax regimes under the Act for companies and other entities
- Optimisation of tax liability of companies and other entities through tax planning

(ii) Special Provisions relating to charitable and religious trust and institutions, political parties and electoral trusts, business trusts, securitisation trusts, investment funds and other funds/trusts

(iii) Anti-avoidance provisions under the Act

(iv) Provisions to address tax challenges on digitalization

II. Tax Administration and Appellate Mechanism

Deduction, Collection and Recovery of Tax

Income-tax Authorities

Assessment Procedures

Appeals and Revision; and Dispute Resolution

Provisions to counteract unethical tax practices

- Taxation of undisclosed income under the Income-tax Act, 1961

© The Institute of Chartered Accountants of India

- Taxation of undisclosed foreign income and assets
- Penalties and offences and prosecution

Miscellaneous Provisions

Tax Audit and Ethical Compliances

III. International Taxation

(i) Taxation of cross border transactions and Non-resident taxation under the Income-tax Act, 1961, including

- Transfer Pricing
- Non-resident Taxation
- Double Taxation Relief
- Advance Ruling

(ii) Other Aspects of International Taxation, namely,

- Significant articles of OECD and UN Model Tax Conventions
- Fundamentals of BEPS
- Application and Interpretation of Tax Treaties
- Latest developments in international taxation

Note: If any new legislation(s) are enacted in place of an existing legislation(s), the syllabus will accordingly include the corresponding provisions of such new legislation(s) in the place of the existing legislation(s) with effect from the date to be notified by the Institute. Similarly, if any existing legislation(s) on direct tax laws ceases to be in force, the syllabus will accordingly exclude such legislation(s) with effect from the date to be notified by the Institute.

Further, the specific inclusions/exclusions in any topic covered in the syllabus will be effected by way of Study Guidelines every year, if required. Specific inclusions/exclusions in a topic may also arise due to additions/deletions made every year by the Annual Finance Act.

© The Institute of Chartered Accountants of India

Overview of selected key amendments made by the Finance Act, 2025 and the Taxation Laws (Amendment) Act, 2025

This edition of the study material on Direct Tax Laws and International Taxation has been meticulously updated in line with the Direct tax Laws, as amended by the Finance Act, 2025 and the Taxation Laws (Amendment) Act, 2025 along with significant Notifications and Circulars issued upto 31.07.2025. It is specifically designed for A.Y. 2026-27 and is applicable for May 2026, September 2026 and January 2027 examinations.

The amendments made by the Finance Act, 2025, the Taxation Laws (Amendment) Act, 2025 and significant Notifications and Circulars issued upto 31.7.2025 have been incorporated in this material. Accordingly,

- the content including tabular presentations, diagrams, flow charts etc. have been added, deleted, modified on the basis of provisions of direct tax laws applicable for A.Y. 2026-27.
- Additionally, examples, illustrations given during the discussion, significant select cases of Supreme Court and High Court rulings forming part of the discussion or contained in the questions and tabulated at the end of each chapter and "Test Your Knowledge" questions have been updated, deleted or modified in accordance with these amendments.

While the amended provisions are distinctly highlighted in *italics/**bold and italics*** throughout the material for easy access and quick reference, the concise summary of some of the **key amendments** introduced by the Finance Act, 2025 and the Taxation Laws (Amendment) Act, 2025 are given here below:

Default Tax Regime [Section 115BAC] - The tax slabs under the Default Tax Regime have been restructured as follows:

Total income	Rate of tax
Upto ₹ 4,00,000	Nil
From ₹ 4,00,001 to ₹ 8,00,000	5%
From ₹ 8,00,001 to ₹ 12,00,000	10%
From ₹ 12,00,001 to ₹ 16,00,000	15%
From ₹ 16,00,001 to ₹ 20,00,000	20%
From ₹ 20,00,001 to ₹ 24,00,000	25%
Above ₹ 24,00,000	30%

© The Institute of Chartered Accountants of India

- **Increase in limit of rebate under section 87A:** The limit of total income for claiming rebate under section 87A is increased from ₹ 7 lakhs to ₹ 12 lakhs and corresponding, the limit of rebate from ₹ 25,000 to ₹ 60,000. It implies that the tax liability of a resident individual who is paying tax under default tax regime having total income upto ₹ 12 lakhs excluding income taxable at special rates u/s 111A, 112, 112A etc. will be Nil. Marginal relief will still be applicable for income marginally higher than ₹ 12 lakhs.

- **Income on redemption of Unit Linked Insurance Policy:** To rationalise the provisions for unit-linked insurance policies, ULIPs to which exemption under clause (10D) of section 10 does not apply, is classified as capital assets under section 2(14) and the profit and gains from the redemption of such ULIPs shall be charged to tax as capital gains under section 45(1B). Definition of equity-oriented fund is also amended to include all ULIPs to which exemption under clause (10D) of section 10 does not apply.

- **Revamping of Capital Gain -** The provisions of period of holding for classifying capital asset as long term or short term, indexation benefit, tax rates for capital gains taxable u/s 112, 111A and 112A etc. have been amended by the Finance (No. 2) Act, 2024. Certain amendments were applicable with effect from certain date like 23.7.2024. Accordingly, both pre and post amended provisions were discussed in this unit. However, for May 2026, September 2026 and January 2027 examinations, the relevant previous year is P.Y. 2025-26. Therefore, this chapter has been revamped to reflect only post amended provisions.

- **Exemption from withdrawals from National Savings Scheme (NSS):** Section 80CCA provides for a deduction for any amount deposited in the NSS. No deduction would be allowed in relation to such amount deposited on or after 1.4.1992.

  The NSS 1987 accounts are still operational, however due to the notification G.S.R.538E dated 29.8.2024 issued by Ministry of Finance through National Savings Scheme (Amendment) Rules, 2024, the balances at the credit of the subscribers of the National Savings Scheme on or after 1st October, 2024, would not earn any interest.

  Consequent to this notification, depositors who had intended to leave their NSS balances untouched for future use will lose interest benefit and be compelled to withdraw the balances, making these amounts taxable.

  Section 80CCA has been amended to provide exemption to the withdrawals made from National Savings Scheme (NSS) on or after 29th August, 2024, for any amount deposited

© The Institute of Chartered Accountants of India

under the scheme and the interest accrued thereon in respect of which a deduction has been allowed.

- **Parity in provisions related to carry forward of losses in case of amalgamation:** In order to bring parity with the provisions of carry forward of business losses, section 72A and section 72AA has been amended to provide that any loss forming part of the accumulated loss of the predecessor entity, to be carried forward for not more than eight assessment years immediately succeeding the assessment year for which such loss was first computed for original predecessor entity.

- **Deduction u/s 80CCD for contributions made to the NPS Vatsalya:** Section 80CCD(1B) provides for an additional deduction of upto ₹ 50,000 in respect of contributions made by an individual to the National Pension System (NPS). The scope of this sub-section has been extended to include contributions made to NPS Vatsalya accounts. The NPS Vatsalya Scheme, enables parents and guardians to start a National Pension Scheme (NPS) account for their children. However, the aggregate deduction under section 80CCD(1B), including contributions to both regular NPS and NPS Vatsalya accounts, shall not exceed ₹ 50,000 in a financial year.

  Clause (12BA) is inserted in section 10 to provide that any income received on partial withdrawal made out of the minor's account, would not be included in the total income of the parent/guardian to the extent it does not exceed 25% of the amount of contributions made by him.

- **Deduction u/s 80CCD for Unified Pension Scheme**: The Unified Pension Scheme (UPS) has been introduced as an option under the National Pension System (NPS) by the Central Government for the Central Government employees covered under NPS so that they may receive an assured payout after their retirement. It is a 'fund-based' payout system which relies on the regular and timely accumulation and investment of applicable contributions (from both the employee and the employer (the Central Government) for grant of monthly payout to the retiree.

  To align the tax treatment of the UPS with the NPS, sub-section (3A) and (6) in section 80CCD and clause (12AA) and (12AB) in section 10 has been inserted by the Taxation Law (Amendment) Act, 2025.

© The Institute of Chartered Accountants of India

- **Extension of terminal date for setting up of start-ups eligible for claiming deduction under section 80-IAC:** The eligible start-up is required to be incorporated between 1.4.2016 and 31.3.2025 in order to be eligible for deduction under section 80-IAC. The outer time limit for incorporation is extended from 31.3.2025 to 31.3.2030.

- **Expansion of Tonnage Tax Scheme Benefits to Inland Vessels**: To promote inland water transportation in the country and to attract investments in the sector, the benefits of tonnage tax scheme is extended to Inland Vessels registered under Inland Vessels Act, 2021.

- **Increase in period of registration for smaller trusts or institutions:** The validity of registration of trust or institution was 5 years. To reduce the compliance burden for the smaller trusts or institutions, the period of validity of registration of trust or institution has been increased from 5 years to 10 years. Smaller trusts or institutions would mean such trusts or institutions whose total income, without giving effect to the provisions of sections 11 and 12, does not exceed ₹ 5 crores during each of the two previous year, preceding to the previous year in which such application is made.

- **List of persons specified under section 13(3) rationalised–** Section 13 provides that the provisions of sections 11 and 12 will not apply *inter alia* if the income or property of a trust or institution applied for the benefit of certain specified persons. These specified persons include any person who has made substantial contribution to the trust or institution i.e., any person whose total contribution upto the end of the relevant previous year exceeds ₹ 50,000 and his relative and any concern in which such person has a substantial interest.

  To address difficulties in reporting details of contributors other than founders, trustees, or managers, section 13(3) is amended to provide that the specified person would include a person whose contribution during the relevant previous year exceeds ₹ 1 lakh or in aggregate up to the end of the relevant previous year exceeds ₹ 10 lakhs. Further, the relatives of such contributors will no longer be considered as specified persons and concerns in which these contributors have a substantial interest is also excluded from meaning of specified persons.

- **Registration not be cancelled for minor default –** *Explanation* to section 12AB(4) *inter alia* provides that where registration or provisional registration of a trust or an institution has been granted and subsequently, the Principal Commissioner or Commissioner has noticed occurrence of one or more specified violations including incomplete application or it contains false or incorrect information, then, registration of such trust or institution can be cancelled.

© The Institute of Chartered Accountants of India

Explanation to section 12AB(4) has been amended to provide that the situations where the application for registration of trust or institution is not complete, shall not be treated as specified violation and hence, registration would not be cancelled for such a minor default.

- **Abolishment of equalization levy –** W.e.f. 1.4.2025, the 6% equalization levy on online advertisement has been abolished.

- **Reduction in tax deduction at source (TDS) and tax collection at source (TCS) rates:** The TDS and TCS rates in the following sections have been brought down:

S. No	Section	Existing TDS/TCS Rate	Revised TDS/TCS Rate
1.	194D - Insurance Commission	5%	2%
2.	Section 194LBC - Income in respect of investment in securitization trust	25% if payee is Individual or HUF and 30% otherwise	10%
3.	206C(1) - TCS on timber or any other forest produce (not being tendu leaves) obtained under a forest lease and - TCS on timber obtained by any mode other than under a forest lease	2.5%	2%
4.	Section 206C(1G) – TCS on remittance under LRS for purpose of education, financed by loan from financial institution referred to in section 80E	0.5% after ₹ 7 lakhs	Nil

- **Increase in threshold limit for deduction or collection of tax at source:** The threshold limit for requirement to deduct tax at source or collect tax at source under the following sections have been increased:

S. No	Section	Existing Threshold limit (₹)	Revised Threshold limit (₹)
1.	193 - Interest on securities	Nil	10,000
2.	194 – Dividend for an individual shareholder	5,000	10,000
3.	194A - Interest other than Interest on securities	(i) ₹ 50,000 for senior citizen; (ii) ₹ 40,000 in case of others	(i) ₹ 1,00,000 for senior citizen (ii) ₹ 50,000 in case of others

© The Institute of Chartered Accountants of India

		when payer is bank, cooperative society and post office (iii) ₹ 5,000 in other cases	when payer is bank, co-operative society and post office (iii) ₹ 10,000 in other cases
4.	194B - Winnings from lottery, crossword puzzle etc.	Aggregate of amounts exceeding ₹ 10,000 during the financial year	₹ 10,000 in respect of a single transaction
5.	194BB - Winnings from horse race	Aggregate of amounts exceeding ₹ 10,000 during the financial year	₹ 10,000 in respect of a single transaction
6.	194D - Insurance commission	15,000	20,000
7.	194G - Income by way of commission, prize etc. on lottery tickets	15,000	20,000
8.	194H - Commission or brokerage	15,000	20,000
9.	194-I Rent	₹ 2,40,000 during the financial year	₹ 50,000 per month or part of a month
10.	194J - Fee for professional or technical services	30,000	50,000
11.	194K - Income in respect of units of a mutual fund or specified company or undertaking	5,000	10,000
12.	194LA - Income by way of enhanced compensation	2,50,000	5,00,000
13.	206C(1G) – Remittance under LRS and overseas tour program package	7,00,000	10,00,000

- **No TCS on sale of goods:** TCS provisions under section 206C(1H) were applicable if conditions specified thereunder are satisfied and where the provisions of section 194Q (relating to tax deduction at source by the buyer) were not attracted. However, with effect from April 1, 2025, the provisions of section 206C(1H), which required the collection of tax at source (TCS) on the sale of goods, has been abolished. Consequently, only section 194Q will now be relevant.

© The Institute of Chartered Accountants of India

As per section 194Q, the buyer is required to deduct tax at source at the rate of 0.1% on value of goods exceeding ₹ 50 lakhs in a financial year for the purchase of goods from a resident seller, provided the buyer's turnover exceeds ₹ 10 crores in the preceding financial year.

- **Removal of higher TDS/TCS for non-filers of return of income:** Section 206AB and 206CCA which requires deduction/ collection of tax at higher rate when the deductee specified therein is a non-filer of income-tax return have been omitted.

- **Extending the time-limit to file the updated return:** Earlier, an updated return can be filed under section 139(8A) upto 24 months from the end of the relevant assessment year. The time limit for filing updated return has been extended to 48 months from the end of the relevant assessment year.

Rate of additional tax payable in the above case

Updated return filed after expiry of 24 months and upto 36 months from the end of relevant assessment year	60% of the aggregate of tax and interest payable
Updated return filed after expiry of 36 months and upto 48 months from the end of relevant assessment year	70% of the aggregate of tax and interest payable

- **Non applicability of section 271AAB of the Act:** The existing section 271AAB(1A) relates to penalty in respect of searches initiated after 15.12.2016. After introduction of 'Block Assessment' (Chapter XIV-B) for searches initiated under section 132 on or after 1st September, 2024, the provisions of the section 271AAB(1A) shall not to applicable to a case where search has been initiated under section 132 on or after 1st September, 2024.

- **Amendments in provisions of Block assessment for search and requisition cases under Chapter XIV-B:** Vide Finance (No. 2) Act, 2024, the concept of block assessment was introduced by amending provisions of Chapter XIV-B (Sections 158B to 158BI) to be made applicable where a search under section 132 is initiated or requisition under section 132A is made, on or after 1st September, 2024.

  The term "virtual digital asset" has been added to the definition of undisclosed income of the block period which is defined under section 158B. The time-limit for completion of block assessment is changed from twelve months from end of the month to twelve months from end of the quarter in which the last of the authorisations for search or requisition has been executed.

- **Time limit to impose penalties rationalized:** The existing provisions of section 275, *inter-alia,* provide for the bar of limitation for imposing penalties. It is amended to provide that any order imposing a penalty shall not be passed after the expiry of six months from the end of

© The Institute of Chartered Accountants of India

the quarter in which the connected proceedings are completed, or the order of appeal is received, or the order of revision is passed.

- **Exemption from prosecution for delayed payment of TCS:** Section 276BB provides for prosecution in case of failure to pay the tax collected at source to the credit of Central Government. Section 276BB is amended to provide exemption from prosecution to a person who has failed to pay tax collected at source (TCS) to the credit of the Central Government, if such payment is made at any time on or before the time prescribed for filing the quarterly TCS statement.

- **Obligation to furnish information on transaction of crypto-asset:** New section 285BAA has been inserted to provide that a reporting entity is required to furnish information with respect to transaction of crypto asset in a statement within such time and in such form as may be prescribed.

- **Parity in rates of long-term capital gain on transfer of securities by FIIs:** At present, FIIs are liable to tax @10% on long-term capital gains on transfer of securities (other than referred to in section 112A). To bring parity between the taxation of capital gains on transfer of capital assets between residents and non-residents, being Foreign Institutional investors, section 115AD has been amended to provide tax rate of 12.5% on such long-term capital gains.

- **Rationalization of transfer pricing provisions for carrying out multi-year arm's length price determination:** Transfer pricing provisions enable computation of income arising from an international transaction or a specified domestic transaction with regard to an arm's length price. It is amended to provide that the ALP determined in relation to an international transaction or a specified domestic transaction for any previous year to apply to the similar transaction for the two consecutive previous years immediately following such previous year.

- **Introduction of presumptive taxation scheme for non-resident providing services for electronics manufacturing facility:** A new section 44BBD has been inserted to provide presumptive taxation regime @25% for non-resident engaged in the business of providing services or technology in India, for the purposes of setting up an electronics manufacturing facility or in connection with manufacturing or producing electronic goods, article or thing in India.

The above coverage provides only a concise overview of the significant select amendments made by the Finance Act, 2025. To fully grasp the scope and application of the amendments introduced by the Finance Act, 2025, the Taxation Laws (Amendment) Act, 2025 along with Notification and Circulars, it is imperative to refer to the detailed discussions including tabular presentations, flow charts, examples, illustrations, significant select cases, test your knowledge questions provided in the respective chapters. Therefore, students are advised to refer the chapters thoroughly for comprehensive study and effective preparation for their examinations.

© The Institute of Chartered Accountants of India

CONTENTS

MODULE – 1

Chapter 1 : Basic Concepts

Chapter 2 : Incomes which do not form part of Total Income

Chapter 3 : Profits and Gains of Business or Profession

Chapter 4 : Capital Gains

Chapter 5 : Income from Other Sources

Chapter 6 : Income of Other Persons included in assessee's Total Income

Chapter 7 : Aggregation of income, set-off or carry forward of Losses

Chapter 8 : Deductions from Gross Total Income

MODULE – 2

Chapter 9 : Assessment of Various Entities

Chapter 10: Assessment of Trusts and Institutions, Political Parties and Other Special Entities

Chapter 11 : Tax Planning, Tax Avoidance & Tax Evasion

Chapter 12 : Taxation of Digital Transactions

MODULE – 3

Chapter 13 : Deduction, Collection and Recovery of tax

Chapter 14 : Income-tax Authorities

Chapter 15 : Assessment Procedure

Chapter 16 : Appeals and Revision

Chapter 17 : Dispute Resolution

Chapter 18 : Miscellaneous Provisions

Chapter 19 : Provisions to Counteract Unethical Tax Practices

Chapter 20 : Tax Audit and Ethical Compliances

© The Institute of Chartered Accountants of India

MODULE – 4

Chapter 21 : Non-resident Taxation

Chapter 22 : Double Taxation Relief

Chapter 23 : Advance Rulings

Chapter 24 : Transfer Pricing

Chapter 25 : Fundamentals of BEPS

Chapter 26 : Application and Interpretation of Tax Treaties

Chapter 27 : Overview of Model Tax Conventions

Chapter 28 : Latest Developments in International Taxation

© The Institute of Chartered Accountants of India

DETAILED CONTENTS: MODULE - 1

CHAPTER 1 – BASIC CONCEPTS

Learning Outcomes 1.1

Contents:

1.1 Overview of Income-tax law in India 1.2

1.2 Important definitions 1.10

1.3 Previous year and Assessment year 1.33

1.4 Charge of Income-tax 1.39

1.5 Rates of Tax, Surcharge & Cess 1.39

1.6 Rebate for resident individuals [Section 87A] 1.64

Significant Select Cases 1.67

Test Your Knowledge 1.70

CHAPTER 2 - INCOMES WHICH DO NOT FORM PART OF TOTAL INCOME

Learning Outcomes 2.1

Contents:

2.1 Introduction 2.2

2.2 Incomes not included in total income [Section 10] 2.5

2.3 Restrictions on allowability of expenditure [Section 14A] 2.39

Significant Select Cases 2.41

Test Your Knowledge 2.42

CHAPTER 3 – PROFITS AND GAINS OF BUSINESS OR PROFESSION

Learning Outcomes 3.1

Contents:

3.1 Meaning of 'Business' and 'Profession' 3.3

© The Institute of Chartered Accountants of India

3.2 Income chargeable under this head [Section 28] 3.5
3.3 Speculation business 3.9
3.4 Method of Accounting 3.12
3.5 Computation of Profits and Gains from business or profession [Section 29] 3.27
3.6 Admissible deductions 3.27
3.7 Inadmissible deductions [Section 40] 3.133
3.8 Expenses or payments not deductible in certain circumstances [Section 40A] 3.145
3.9 Profits chargeable to tax [Section 41] 3.152
3.10 Other provisions 3.153
3.11 Compulsory maintenance of accounts [Section 44AA] 3.167
3.12 Audit of accounts of certain persons carrying on business or profession [Section 44AB] 3.171
3.13 Special provisions for computing profits and gains of business on presumptive basis [Section 44AD/44ADA/44AE] 3.174
3.14 Method of computing deduction in the case of business re-organization of Co-operative Banks [Section 44DB] 3.182
3.15 Computation of business income in cases where income is partly agricultural and partly business in nature 3.188

Significant Select Cases 3.191

Test Your Knowledge 3.200

CHAPTER 4- CAPITAL GAINS

Learning Outcomes 4.1

Contents:

4.1 Introduction 4.2
4.2 Capital Asset 4.2
4.3 Short-term and long-term capital assets 4.7

© The Institute of Chartered Accountants of India

4.4 Transfer: What it means? [Section 2(47)] 4.13

4.5 Scope and year of chargeability [Section 45] 4.14

4.6 Capital gains on distribution of assets by companies in liquidation [Section 46] 4.44

4.7 Capital gains on buyback of shares or other securities [Section 46A] 4.45

4.8 Important definitions 4.46

4.9 Transactions not regarded as transfer [Section 47] 4.50

4.10 Withdrawal of exemption in certain cases 4.68

4.11 Mode of computation of capital gains [Section 48] 4.69

4.12 Ascertainment of cost in specified circumstances [Section 49] 4.73

4.13 Cost of acquisition [Section 55(2)] 4.85

4.14 Cost of improvement [Section 55(1)] 4.96

4.15 Computation of capital gains in case of depreciable assets [Section 50 & 50A] 4.99

4.16 Computation of capital gains in case of market linked debentures [Section 50AA] 4.102

4.17 Capital gains in respect of slump sale [Section 50B] 4.104

4.18 Deemed full value of consideration for computing capital gains [Section 50C, 50CA & 50D] 4.111

4.19 Advance money received [Section 51] 4.115

4.20 Exemption of capital gains 4.118

4.21 Reference to Valuation Officer [Section 55A] 4.136

4.22 Tax on Short term capital gains in respect of equity share/units of an equity oriented fund /unit of a business Trust [Section 111A] 4.137

4.23 Tax on long term capital gains [Section 112] 4.138

4.24 Tax on long term capital gains on certain assets [Section 112A] 4.139

4.25 Surplus on sale of shares and securities - whether taxable as capital gains or business income? [Circular No. 06/2016, dated 29-2-2016] 4.147

Significant Select Cases 4.149

Test Your Knowledge 4.157

© The Institute of Chartered Accountants of India

CHAPTER 5-INCOME FROM OTHER SOURCES

Learning Outcomes.....5.1

Contents:

5.1 Introduction 5.2

5.2 Method of accounting [Section 145].....5.2

5.3 Incomes chargeable under this head [Section 56].....5.2

5.4 Applicable rate of tax in respect of casual income [Section 115BB] 5.40

5.5 Applicable rate of tax in respect of winning from online games [Section 115BBJ].....5.41

5.6 Deductions allowable [Section 57].....5.41

5.7 Deductions not allowable [Section 58] 5.44

5.8 Deemed income chargeable to tax [Section 59] 5.45

Significant Select Cases 5.46

Test Your Knowledge.....5.50

CHAPTER 6 - INCOME OF OTHER PERSONS INCLUDED IN ASSESSEE'S TOTAL INCOME

Learning Outcomes.....6.1

Contents:

6.1 Clubbing of Income - An introduction 6.3

6.2 Income of other persons includible in assessee's total income 6.3

6.3 Income of other persons includible in an individual's total income 6.4

6.4 Cross transfers 6.13

6.5 Conversion of self-acquired property into the property of a HUF[Section 64(2)] 6.15

6.6 Income includes loss.....6.15

6.7 Distinction between section 61 and section 64.....6.15

6.8 Liability of person in respect of income included in the income of another person.....6.16

Test Your Knowledge.....6.18

© The Institute of Chartered Accountants of India

CHAPTER 7 - AGGREGATION OF INCOME, SET OFF OR CARRY FORWARD OF LOSSES

Learning Outcomes 7.1

Contents:

7.1 Aggregation of Income 7.3

7.2 Concept of set-off and carry forward of losses 7.4

7.3 Inter-source adjustments [Section 70] 7.4

7.4 Inter-head adjustments [Section 71] 7.5

7.5 Carry forward and set off of loss from house property [Section 71B] 7.6

7.6 Carry forward and set-off of business losses [Section 72] 7.9

7.7 Carry forward and set-off of accumulated business losses and unabsorbed depreciation in certain cases of amalgamation/ demerger, etc. [Section 72A] 7.12

7.8 Carry forward and set off of accumulated business losses and unabsorbed depreciation in a scheme of amalgamation in certain cases [Section 72AA] 7.17

7.9 Carry forward and set off of accumulated loss and unabsorbed depreciation in business reorganisation of Co-operative Banks [Section 72AB] 7.20

7.10 Losses in speculation business [Section 73] 7.22

7.11 Carry forward & set-off of losses by specified businesses [Section 73A] 7.23

7.12 Losses under head 'Capital Gains' [Section 74] 7.24

7.13 Losses from the activity of owning and maintaining race horses [Section 74A(3)] 7.26

7.14 Carry forward and set-off of losses in case of change in constitution of firm or succession [Section 78] 7.27

7.15 Carry forward and set-off of losses in case of closely held companies [Section 79] 7.28

7.16 No set off of losses against undisclosed income brought to tax Consequent to search, requisition and survey [Section 79A] 7.31

© The Institute of Chartered Accountants of India

7.17 Order of set-off of losses 7.32

7.18 Submission of Return of Losses [Section 80] 7.34

Significant Select Cases 7.35

Test Your Knowledge 7.37

CHAPTER 8 – DEDUCTIONS FROM GROSS TOTAL INCOME

Learning Outcomes 8.1

Contents:

8.1 General provisions 8.2

8.2 Deductions in respect of payments 8.6

8.3 Deductions in respect of certain incomes 8.59

8.4 Deductions in respect of other income 8.91

8.5 Other Deductions 8.94

8.6 Deduction under section 10AA 8.95

Significant Select Cases 8.105

Test Your Knowledge 8.111

© The Institute of Chartered Accountants of India

© The Institute of Chartered Accountants of India